SUPERIOR COURT, STATE OF CALIFORNIA
COUNTY OF SANTA CLARA

Department 22, Honorable Beth McGowen Presiding

Farris Bryant, Courtroom Clerk
191 North First Street, San Jose, CA95113
Telephone: (408) 882-2340

To contest a tentative ruling, you must:

1. Call (408) 808-6856 before 4:00 P.M. and leave a voicemail message containing the information described below, and
2. Notify the other side before 4:00 P.M. that you will appear at the hearing to contest the tentative ruling.

In the voicemail message, please state your case name, case number, the name of the attorney, who you represent (Plaintiff or specific defendant) and contact number. It would also be helpful if you could identify the specific portion or portions of the tentative ruling that will be contested.

PLEASE NOTE:

- If you do not notify the Court and/or opposing side as required by California Rule of Court, rule 3.1308(a)(1) and Civil Local Rule 8(E), the Court will not hear argument and the tentative ruling will be adopted even if all parties appear at the hearing.
- Sending an email to the department or to the Complex Clerk will no longer suffice to constitute notice to the Court of the need for a hearing regarding a tentative ruling.

Court Reporters are not provided. Please consult our Court's website, www.scscourt.org, for the rules, policies, and required forms for appointment by stipulation of privately-retained court reporters.

- **Parties can appear either in person or remotely.** All remote appearances must be made through UDC, unless otherwise arranged with the Court. Please go to https://santaclara.courts.ca.gov/online-services/remote-hearings to find the appropriate link. Also, please note that that you must register in advance to appear remotely.
- As a reminder, state and local Court Rules prohibit recording of court proceedings without a Court order. This prohibition applies while in the courtroom and while appearing remotely.

DATE: September 3, 2026 TIME: 1:30 P.M.

PREVAILING PARTY SHALL PREPARE THE ORDER UNLESS OTHERWISE STATED (SEE RULE OF COURT 3.1312)

LINE #	CASE #	CASE TITLE	RULING
LINE 1	24CV441630	Hernandez v. Mac Cal Company (Class Action/PAGA)	Motion: Summary Judgment/Adjudication is DENIED Click on line 1 for tentative ruling
LINE 2	24CV445405	Mendoza Jaimes v. Kumar Management, Corporation (Class Action)	Motion: Withdraw as attorney is GRANTED Click on line 2 for tentative ruling
LINE 3	24CV452239	Lonnie Wong vs Ro Health, LLC, a Limited Liability Company (Class Action)	Hearing: Petition for Coordination is DENIED Click on line 3 for tentative ruling
LINE 4	25CV469636	MARIA CASTRO vs THE VILLAGES GOLF AND COUNTRY CLUB, a California nonprofit corporation (Class Action / PAGA)	Hearing: Demurrer is OVERRULED Click on line 4 for tentative ruling
LINE 5	25CV477079	ISABELLA STOJANOV, individually, and on behalf of other similarly situated emplo vs GDH CONSULTING, INC et al (Class Action)	Motion: Compel Arbitration is DENIED
LINE 6	25CV477079	ISABELLA STOJANOV, individually, and on behalf of other similarly situated emplo vs GDH CONSULTING, INC et al (Class Action)	Motion: Joinder is DENIED Click on lines 5-6 for tentative ruling
LINE 7			
LINE 8			
LINE 9			
LINE 10			
LINE 11			
LINE 12			
LINE 13			

Calendar Line 1

Case Name: *Hernandez v. Mac Cal Company, Inc, et al.*
Case No.: 24CV441630

This is a class and representative action under the Private Attorneys General Act ("PAGA"). Plaintiff Arturo Hernandez alleges defendant Mac Cal Company, Inc. ("Mac Cal" or "Defendant") committed various wage and hour violations.

Before the Court is Defendant's motion for summary judgment or in the alternative, summary adjudication, which is opposed. For the reasons discussed below, the Court DENIES Defendant's motion for summary judgment and DENIES its motion for summary adjudication.

I. BACKGROUND

According to the allegations of the operative first amended complaint ("FAC"), on August 2021, Plaintiff began working for Defendants as an hourly, non-exempt "laser operator," and his employment ended in October 2023. (FAC, ¶ 7.) Plaintiff was subjected to Defendant's wage and hour policies and practices. (*Ibid*.) Defendant failed to: pay all wages owed; provide compliant meal periods or compensation in lieu thereof; provide complaint rest periods or compensation in lieu thereof; and pay all wages owed, including minimum and overtime.

Plaintiff initiated this action on June 24, 2024 with the filing of the complaint and on June 11, 2025, he filed the operative FAC, which asserts the following causes of action: (1) Violation of Labor Code § 226; (2) Violation of Labor Code §§ 201 204, 558, 1194, 1197, And 1197.1; (3) Violation of Labor Code §§ 201 204, 510, 558, 1194, 1197, And 1197.1; (4) Violation of Labor Code §§ 201 204, 510, 558, 1174, 1198, And 1199; (5) Violation of Labor Code §§ 226.7 And 512; (6) Violation of Labor Code § 226.7; (7) Violation of Business And Professions Code §17200, *et seq*.; And (8) Violation of Labor Code §2698, *et seq*.

II. EVIDENTIARY OBJECTIONS

A. Plaintiff's Objections

Plaintiff submits his evidentiary objection to paragraph 4 of the declaration of Melina Fielding ("Fielding Decl.").

However, the Court need not rule on it because it does not comply with California Rule of Court 3.1354, which requires two documents to be submitted when evidentiary objections are made: the objections and a separate proposed order on the objections, both of which must be in one of the two approved formats set forth in the rule. (See *Vineyard Spring Estates v. Super. Ct.* (2004) 120 Cal.App.4th 633, 642 (*Vineyard*) [trial courts only have duty to rule on evidentiary objections presented in the proper format]; *Hodjat v. State Farm Mutual Automobile Ins. Co.* (2012) 211 Cal.App.4th 1 (*Hodjat*) [trial court not required to rule on objections that do not comply with Rule of Court 3.1354 and not required to give objecting party a second chance at filing properly formatted papers].)

Here, Plaintiff submitted one document that attempts to be both the objections and the proposed order, in violation of Rule 3.1354. Consequently, the Court declines to rule on the evidentiary objection. Objections that are not ruled on are preserved for appellate review. (See Code of Civ. Proc., § 437c, subd. (q).)

B. Defendant's Objections

Defendant submits objections to Plaintiff's declaration and the declaration of Diomenes Luera ("Luera"). Similarly, Defendant only submitted one document that attempts to be both the objections and the proposed order, in violation of Rule 3.1354. Consequently, the Court declines to rule on the evidentiary objection. Objections that are not ruled on are preserved for appellate review. (See Code of Civ. Proc., § 437c, subd. (q).)[1]

III. DEFENDANT'S MOTION FOR SUMMARY JUDGMENT OR IN THE ALTERNATIVE, SUMMARY ADJUDICATION

Defendant moves for summary judgment or in the alternative summary adjudication.

A. Legal Standard

"A defendant seeking summary judgment [or adjudication] must show that at least one element of the plaintiff's cause of action cannot be established, or that there is a complete defense to the cause of action. … The burden then shifts to the plaintiff to show there is a triable issue of material fact on that issue." (*Alex R. Thomas & Co. v. Mutual Service Casualty Ins. Co*. (2002) 98 Cal.App.4th 66, 72; see also Code Civ. Proc., § 437c, subd. (p)(2).)

This standard provides for a shifting burden of production; that is, the burden to make a prima facie showing of evidence sufficient to support the position of the party in question. (See *Aguilar v. Atlantic Richfield Co*. (2001) 25 Cal.4th 826, 850–851 (*Aguilar*).) The burden of persuasion remains with the moving party and is shaped by the ultimate burden of proof at trial. (*Ibid.*) "There is a triable issue of material fact if, and only if, the evidence would allow a reasonable trier of fact to find the underlying fact in favor of the party opposing the motion in accordance with the applicable standard of proof." (*Ibid.*) The opposing party must produce substantial responsive evidence that would support such a finding; evidence that gives rise to no more than speculation is insufficient. (*Sangster v. Paetkau* (1998) 68 Cal.App.4th 151, 162–163.)

The traditional method for a defendant to meet its burden on summary judgment is by "negat[ing] a necessary element of the plaintiff's case" or establishing a defense with its own evidence. (*Guz v. Bechtel Nat'l, Inc.* (2000) 24 Cal.4th 317, 334 (*Guz*).) The defendant may also demonstrate that an essential element of plaintiff's claim cannot be established by "present[ing] evidence that the plaintiff does not possess, and cannot reasonably obtain, needed

[1] In its reply, Defendant argues Plaintiff's and Luera's declarations should not be admitt3ed because there is no Spanish translation or indication that the declarations were translated from Spanish. (Reply, p. 3:5-15.) In response, Plaintiff submitted the declaration of David Ramos Vasquez, a legal assistant for Plaintiff's counsel who spoke with both Plaintiff and Luera and accordingly drafted the declarations. (Ramos Vasquez Decl., ¶¶ 9-11.) Thus, the Court declines to disregard the declarations.

evidence-as through admissions by the plaintiff following extensive discovery to the effect that he has discovered nothing." (*Aguilar*, *supra,* 25 Cal.4th at p. 855.)

On summary judgment, "the moving party's declarations must be strictly construed and the opposing party's declaration liberally construed." (*Hepp v. Lockheed-California Co*. (1978) 86 Cal.App.3d 714, 717 (*Hepp*); see also *Johnson v. American Standard, Inc*. (2008) 43 Cal.4th 56, 64 [the evidence is viewed in the light most favorable to the opposing plaintiff; the court must "liberally construe plaintiff's evidentiary submissions and strictly scrutinize defendant's own evidence, in order to resolve any evidentiary doubts or ambiguities in plaintiff's favor"].) Summary judgment may not be granted by the court based on inferences reasonably deducible from the papers submitted, if such inferences are contradicted by others which raise a triable issue of fact. (*Hepp*, *supra,* 86 Cal.App.3d at 717.)

A party may bring a motion for summary adjudication that one or more causes of action have no merit. (Code Civ. Proc., § 437c, subd. (f)(1).) A motion for summary adjudication shall be granted only if it completely disposes of a cause of action, an affirmative defense, a claim for damages, or an issue of duty. (*Ibid*.) A motion for summary adjudication proceeds in all procedural respects as a motion for summary judgment. (*Id*. at subd. (f)(2).) "A party may seek summary adjudication on whether the cause of action, affirmative defense or punitive damages claim has merit or whether a defendant owed a duty to a plaintiff." (*California Bank & Trust v. Lawlor* (2013) 222 Cal.App.4th 625, 630; Code Civ. Proc., § 437c, subd. (f)(1).)

In ruling on a motion for summary judgment or adjudication, the court considers all the evidence and all of the inferences reasonably drawn therefrom and must view such evidence in the light most favorable to the opposing party. (*All of US or None-Riverside Chapter b. Hamrick* (2021) 64 Cal.App.5th 751, 783.)

B. Discussion

Defendant's undisputed material facts ("UMF") are as follows: Defendant is a contract manufacturer. (Defendant's UMF, No. 1.) Plaintiff was employed as a laser machine operator from August 2021 to October 2023. (*Ibid*.) Plaintiff was paid for all hours worked while he worked for Defendant. (Defendant's UMF, No. 2.) Plaintiff is not owed any regular or overtime wages by Defendant. (Defendant's UMF, No. 3.) Plaintiff's wage statement accurately reported all hours he worked based on when his shift started and ended. (Defendant's UMF, No. 4.) The only time Plaintiff was not paid for a full eight-hour shift was when he clocked in after 6:00 a.m., the starting time for shift. (Defendant's UMF, No. 5.) Plaintiff never did any work before his shift started at 6:00 a.m. or after it was over at 2:30 p.m. (Defendant's UMF, No. 6.) He was free to do whatever he wanted before his shift started and after it ended. (*Ibid*.) Unlike other employees working on the shop floor, Plaintiff's shift ended at 2:30 p.m. (Defendant's UMF, No. 7.) There were no occasions when anything prevented Plaintiff from stopping work when his shift ended. (*Ibid*.)

Plaintiff's wage statements contained information identifying Defendant as his employer. (Defendant's UMF, No. 8.) Defendant uses a bell system to let employees know when their meal periods begins and end. (Defendant's UMF, No. 9.) The bell goes off at 11:00 a.m. for the beginning of the meal period and at 11:30 a.m. for the end of the meal period. (*Ibid*.) A warning bell goes off two minutes before the end of the meal period. (Defendant's UMF, No. 10.) Plaintiff understood that the bell went off at the beginning of each meal period. (Defendant's UMF, No. 11.) He does not recall more than one bell going off at the end of the meal period. (*Ibid*.) Plaintiff always went to his car during the meal period. (Defendant's UMF, No. 12.) He knew when the meal period was over by looking at his phone and seeing other employees coming back from their cars. (*Ibid*.) Plaintiff was free to do whatever he wanted to do during his meal periods. (Defendant's UMF, No. 13.) No one ever told Plaintiff he couldn't take 30 minute meal periods. (Defendant's UMF, No. 14.)

The only times Plaintiff was unable to start taking his meal period when the bell went off was when he was asked to help unload materials from a delivery truck about two minutes before the meal period. (Defendant's UMF, No. 15.) This occurred about once every two months. (*Ibid*.) It delayed the beginning of his meal period by five or ten minutes, but he was unable to make up the time lost by going back to work after everyone else did. (*Ibid*.)

Defendant uses a bell system to let employees know when their rest breaks begin and end. (Defendant's UMF, No. 16.) The bell goes off at 8:00 a.m. for the beginning of the morning break, 8:10 a.m. for the end of the morning break, 1:30 p.m. for the beginning of the afternoon break, and 1:40 [p.m.] for the end of the afternoon break. (*Ibid*.) A warning bell goes off two minutes before the end of the rest break. (Defendant's UMF, No. 17.) Plaintiff recalls a bell going off at the beginning of each rest break. (Defendant's UMF, No. 18.) He does not recall any bells going off the end of the rest breaks. (*Ibid*.) Plaintiff had full ten-minute rest breaks starting at 8:00 a.m. and 1:30 p.m. every day. (Defendant's UMF, No. 19.) He was free to do whatever he wanted to do during his rest breaks. (*Ibid*.) No one ever told Plaintiff he couldn't take 10-minute rest breaks. (Defendant's UMF, No. 20.)

Plaintiff never worked overtime. (Defendant's UMF, No. 21.) Plaintiff was paid for all hours worked while he worked for Defendant. (Defendant's UMF, No. 22.) Plaintiff is not owed any money for hours worked that was not paid. (Defendant's UMF, No. 23.) Plaintiff never did any work for Defendant before his shift began at 6:00 a.m. (Defendant's UMF, No. 24.) Plaintiff was free to do whatever he wanted before his shift started. (Defendant's UMF, No. 25.) Unlike other employees working on the shop floor, Plaintiff's shift ended at 2:30 p.m. (Defendant's UMF, No. 26.) There were no occasions when anything prevented Plaintiff from stopping working when his shift ended. (*Ibid*.)

Plaintiff was paid for all hours worked while he worked for Defendant. (Defendant's UMF, No. 27.) Plaintiff is not owed any regular or overtime wages by Defendant. (Defendant's UMF, No. 28.) Plaintiff's wage statement accurately reported all hours worked based on when his shift started and ended. (Defendant's UMF, No. 29.) The only time Plaintiff was not paid for a full eight-hour shift was when he clocked in after 6:00 a.m., the starting time for his shift. (Defendant's UMF, No. 30.)

Defendant uses a bell system to let employees know when their meal periods begin and end. (Defendant's UMF, No. 33.) The bell goes off at 11:00 a.m. for the beginning of the meal period and at 11:30 a.m. for the end of the meal period. (*Ibid*.) A warning bell goes off two minutes before the end of the meal period. (Defendant's UMF, No. 34.) Plaintiff understood that a bell went off at the beginning of each meal period. (Defendant's UMF, No. 35.) He does not recall more than one bell going off at the end of the meal period. (*Ibid*.) Plaintiff always went to his car during the meal period. (Defendant's UMF, No. 36.) He knew when the meal period was over by looking at his phone and seeing other employees coming back from their cars. (*Ibid*.)

Plaintiff was free to do whatever he wanted to do during his meal periods. (Defendant's UMF, No. 37.) No one ever told Plaintiff he couldn't take 30-minute meal periods. (Defendant's UMF, No. 38.) The only times Plaintiff was unable to start taking his meal period when the bell went off was when he was asked to help unload materials from a delivery truck about two minutes before the meal period. (Defendant's UMF, No. 39.) This occurred about once every two months. (*Ibid*.) It delayed the beginning of his meal period by five or ten minutes, but he was able to make up the time lose by going back to work after everyone else did. (*Ibid*.) Plaintiff's wage statements contained information identifying defendant as his employer. (Defendant's UMF, No. 46.)

With regard to the meal and rest breaks, Plaintiff states that Defendant did not require its employees to clock in and out for its meal breaks—instead it utilized a bell system which required employees to return to their work stations before the end of their break. (Plaintiff's Response to Defendant's UMFs ("Plaintiff's Response"), No. 2.) For meal breaks, the bell would ring at 11:00 a.m. to indicate the beginning of the break and around 11:28 a.m. a warning bell would ring so employees would start walking to their work stations. (*Ibid*.) A final bell would ring at 11:30 a.m. and all employees had to be in their working stations before the ringing of the final bell. (*Ibid*.) Those who did not return to their stations before the final bell would receive a warning from their supervisor. (*Ibid*.0 a similar policy was implemented for rest breaks. (*Ibid*.) The buzzer system contradicts Defendant's written policy for meal and rest breaks outlined in its 2021 Employee Handbook, which states, "[n]onexempt employees should accurately record the time they begin and end their work, as well as the beginning and ending time of each meal period." (*Ibid*.) Defendant's bell system deprives employees of any autonomy in setting their own meal and rest breaks and taking their full duty-free breaks. (*Ibid*.)
Additionally, Defendant engaged in a non-neutral time rounding policy resulting in substantial unpaid minimum and overtime wages. (*Ibid*.)

Defendant required its employees to arrive prior to the start time to set up their work stations, ready their tools and start work exactly at the start time. (Plaintiff's Response, No. 6.) Similarly, Defendant required its employees to work after the end of their work schedule and did not compensate its employees for the time required to clean their work station and pack up their tools. (*Ibid*.) However, if the employees clocked in after the start time or clocked out prior to the end time, the employees pay would be reduced by the missed time. (*Ibid*.) This was deliberately designed for the benefit of the employer at the expense of employees—Defendant used rounding when it benefited them, but would reduce an employee's wages by the minute when an employee clocked in late. (*Ibid*.)

1. Second, Fifth, and Sixth Causes of Action

Labor Code section 226.7 provides, as relevant, "An employer shall not require an employee to work during a meal or rest or recovery period mandated pursuant to an applicable statute…or order of the Industrial Welfare Commission…" (Lab. Code, § 226.7, subd. (b).) Labor Code section 512, provides, as relevant, "An employee shall not employ an employee for a work period of more than five hours per day without providing the employee with a meal period of not less than 30 minutes, except that if the total work period per day of the employee is no more than six hours, the meal period may be waived by mutual consent of both the employer and employee…" (Lab. Code, § 512, subd. (a).)

Defendant contends it utilized a bell system to notify non-exempt employees when meal and rest periods began (at 11:00 a.m.) and ended (at 11:30 a.m.). (Defendant's Memorandum of Points and Authorities ("MPA"), p. 4:8-11; Defendant's UMF, Nos. 9-10.) In support, Defendant provides the declaration of Jonathan Jackel ("Jackel Decl."), president of Defendant, who states that Defendant used a bell system to let employees know when their meal or rest breaks began and ended. (See Jackel Decl., ¶¶ 6-7.) He further states that a warning bell went off two minutes before the end of the meal or rest periods and employees were not expected or required to resume work until after the end of their meal and rest periods. (Jackel Decl., ¶¶ 6-7.) In response, Plaintiff states that the employees were required to walking to their work stations once the warning bell rang. (Plaintiff Decl., ¶ 6; Luera Decl., ¶ 6.) Plaintiff further argues that the bell system contradicts the 2021 Employee Handbook. (Plaintiff Decl., ¶ 8; Luera Decl., ¶ 8.) In 2023, the Employee Handbook was updated and it stated that "[e]mployees are expected to be at their work stations ready to begin working when the alert sounds at the start of each shift segment and work through until the alert sounds at the end of each shift segment. An additional alert sounds 2 minutes before shift and start times and break finish times." (Plaintiff's Decl., ¶ 9; Luera Decl., ¶ 9; Jarrod Nakano Declaration ("Nakano Decl."), Exh. K, p. 31.) Thus, there are triable issues of material fact as to whether Plaintiff was given compliant meal and rest periods. Consequently, summary adjudication of these claims is not proper.

Based on the foregoing, Defendant's motion for summary judgment is DENIED and its motion for summary adjudication of the second, fifth, and sixth causes of action is DENIED.

2. <u>First Cause of Action</u>

Labor Code section 226 identifies various types of information that must be furnished on a pay stub when wages are paid to an employee, including, among other things, "(1) gross wages earned, (2) total hours worked by the employee… and (5) net wages earned." (Lab. Code, § 226, subd. (a).) If an employer fails to provide a wage statement, provides one that is inaccurate, or provides one that makes it difficult for an employee to determine certain information (e.g., amount of gross wages or net wages paid), an employee is deemed to suffer an injury. (Lab. Code, § 226, subd. (e)(2).)

Defendant argues that the first cause of action fails because Plaintiff was paid for all hours worked, he did not work overtime, and he did not suffer any meal or rest period violations. (Defendant's Memorandum of Points and Authorities ("MPA"), p. 6:15-18.) Defendant relies on Plaintiff's deposition, in which he testified as follows:

> Q. And are you claiming that Mac Cal owes you money for overtime hours that you worked without getting the proper compensation?
> …
> A. I never worked overtime.

(Plaintiff's Deposition ("Depo"), p. 15:17-25.)

> Q. Do you believe that Mac Cal owes any money for you for hours that you worked and for which you were not paid?
> …
> A. No.

> Q. So you're not claiming that you're owed any money for hours you worked and didn't get paid; is that correct?
> A. For the conclusions that I saw, yes, they have to pay me.
> Q. Pay you for what?
> A. For the times that aren't that I saw in my paycheck stubs.

(Plaintiff's Depo., p. 19:8-23.)

Defendant also relies on the declaration of Melina Fielding ("Fielding Decl."), the Chief Financial Officer for Defendant. Fielding states that Plaintiff's wage statements accurately reported all hours he worked based on when his shift started and ended. (Fielding Decl., ¶ 4.) In opposition, Plaintiff argues that Defendant used a punitive non-neutral policy regarding rounding. In support, Plaintiff relies on his wage statements, which show that Defendant rounded down the time when he clocked out past his stop time. (See Nakano Decl., Exh. F-I.)

In *See's Candy Shops, Inc. v. Superior Court* (2012) 210 Cal.App.4th 889 (*See's Candy Shop*), an employee challenged a rounding policy. (*Id*. at p. 892.) The appellate court applied the federal regulatory standard and held that an employer is entitled to use such a rounding policy if it is "fair and neutral on its face" and "used in a manner that it will not result, over a period of time, in failure to compensate the employees properly for all the time they have actually worked." (*Id*. at p. 907.) The appellate court states that the question of whether rounding is "biased against employees" is a factual issue and not a legal one." (*Id*. at p. 906.)

In 2022, the court in *Camp v. Home Depot U.S.A., Inc.* (2022) 84 Cal.App.5th 638 (*Camp*), reversed summary judgment on a claim regarding rounding. (*Id*. at p. 644.) The California Supreme Court has granted review in order to address the validity of the rounding standard in *See's Candy Shops*. (*Id*. at pp. 660-661.) The Court does not need to resolve the dispute between *Camp* and *See's Candy Shops,* because here, Plaintiff proffers evidence that there is a rounding policy and that it was used to favor Defendant when possible and to cut against employees when possible. Thus, he establishes a factual dispute as to whether the rounding policy is biased against employees. Consequently, there is a triable issue of material fact as to whether Plaintiff's claims can be predicated upon the rounding policy. As a result, there is a triable issue of material fact as to whether Defendant provided complete and accurate wage statements.

Based on the foregoing, Defendant's motion for summary adjudication of the first cause of action is DENIED.

3. <u>Third and Fourth Causes of Action</u>

Labor Code section 1194, provides, "[n]otwithstanding any agreement to work for a lesser wage, any employee receiving less than the legal minimum wage or the legal overtime compensation applicable to the employee is entitled to recover in a civil action the unpaid balance of the full amount of this minimum wage or overtime compensation, including interest thereon, reasonable attorney's fees, and costs of suit." (Lab. Code, § 1194, subd. (a).) Labor Code section 1197 provides, "[t]he minimum wage for employees fixed by the commission or by any applicable state or local law, is the minimum wage to be paid to employees, and the payment of a lower wage than the minimum so fixed is unlawful…" (Lab. Code, § 1197.)

Defendant argues that Plaintiff was paid for all hours worked and he did not work overtime. (MPA, p. 5:8-10.) Summary adjudication of a cause of action is permitted "only if it *completely disposes of a cause of action*." (See Code of Civ. Proc., § 437c, subd. (f)(1.).) As the Court explained above, Plaintiff establishes a triable issue of material fact as to the rounding theory. Thus, summary adjudication is not proper here.

Based on the foregoing, Defendant's motion for summary adjudication of the third and fourth causes of action is DENIED.

4. <u>Seventh Cause of Action- Violation of Business & Professions Code section 17200</u>

The UCL defines 'unfair competition' to 'mean and include any unlawful, unfair or fraudulent business act or practice and unfair, deceptive, untrue or misleading advertising' and any act prohibited by [Business and Professions Code] section 17500." (*Searle v. Wyndham Int'l* (2002) 102 Cal.App.4th 1327, 1332-1333 (Searle) [internal citations omitted].) "Section 17200 'is not confined to anticompetitive business practices, but is also directed toward the public's right to protection from fraud, deceit, and unlawful conduct. Thus, California courts have consistently interpreted the language of section 17200 broadly.'" (*South Bay Chevrolet v. General Motors Acceptance Corp*. (1999) 72 Cal.App.4th 861, 877-878 [internal citations omitted].) "The statute prohibits 'wrongful business conduct in whatever context such activity might occur.'" (*Searle, supra*, at 102 Cal.App.4th at p. 1333.)

Defendant moves for summary adjudication of the seventh cause of action on the ground that it is entirely derivative of the Labor Code violations and because those claims fail, so too does the seventh cause of action. (MPA, p. 8:16-26.) Here, the motion has been denied to Plaintiff's other claims. Defendant fails to offer any other arguments as to this claim. Accordingly, summary adjudication of this claim cannot be granted. (See *Becerra v. McClatchy Co.* (2021) 69 Cal.App.5th 913, 951 [where an unfair business practices claim "is derivative of an underlying violation of law, it must stand or fall with the underlying claim"].

Based on the foregoing, Defendant's motion for summary adjudication of the seventh cause of action is DENIED.

5. <u>Eighth Cause of Action- Violation of PAGA</u>

Labor Code section 2699, provides, as relevant, "any provision of this code that provides for a civil penalty to be assessed and collected by the [LWDA]…for a violation of this code, may, as an alternative, be recovered through a civil action brought by an aggrieved employee and other current or former employees against who a violation of the same provision was committed…" (Lab. Code, 2699, subd. (a).) An "aggrieved employee" is defined as "any person who was employed by the alleged violator and personally suffered each of the violations alleged during the period…, (2)…any person who was employed by the alleged violator against whom one or more of the alleged violations was committed." (Lab. Code, § 2699, subd. (c)(1).)

Defendants argue that Plaintiff is not an "aggrieved employee" such that he can represent other "aggrieved employees." (MPA, p. 8:1-14.) Here, Plaintiff has established triable issues of material fact as to whether he experienced the Labor Code violations at issue. Thus, Defendant cannot meet its burden as to the eighth cause of action and summary adjudication is not proper.

Based on the foregoing, Defendant's motion for summary adjudication of the eighth cause of action is DENIED.

IV. CONCLUSION

Defendant's motion for summary judgment is DENIED, its motion for summary adjudication of each cause of action is DENIED.

The Court will prepare the order.

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Calendar Line 2

Case Name: *Mendoza Jaimes v. Kumar Management, Corporation*
Case No.: 24CV445405

This is a putative class action arising from defendant Kumar Management Corporation's alleged wage and hour violations.

Before the Court is the motion to be relieved as counsel by defense counsel Ronald W. Novotny ("Counsel"), which is not opposed. For reasons discussed below, the Court GRANTS the motion.

I. MOTION TO BE RELIEVED AS COUNSEL

A. Legal Standard

Motions to be relieved as counsel are technical and governed by Rules of Court, rule 3.1362 ("Rule 3.1362"). Notice and motion must be directed to the client on Judicial Council Form MC-051. No memorandum is required. (Rule 3.1362(a) & (b)). Counsel must provide a declaration on Judicial Council Form MC-052 stating "in general terms and without compromising the confidentiality of the attorney-client relationship why a motion under Code of Civil Procedure section 284(2) is brought instead of filing a consent under Code of Civil Procedure section 284(1)." (Rule 3.1362(c)).

The notice of motion and motion, the declaration, and the proposed order must be served on the client and all parties "by personal service, electronic service, or mail." (Rule 3.1362(d)).

> If the notice is served on the client by mail under Code of Civil Procedure section 1013, it must be accompanied by a declaration stating facts showing that either:
>
> (A) The service address is the current residence or business address of the client; or
>
> (B) The service address is the last known residence or business address of the client and the attorney has been unable to locate a more current address after making reasonable efforts to do so within 30 days before the filing of the motion to be relieved.

(Rule 3.1362(d).)

> The proposed order relieving counsel must be prepared on the Order Granting Attorney's Motion to Be Relieved as Counsel—Civil (form MC-053) and must be lodged with the court with the moving papers. The order must specify all hearing dates scheduled in the action or proceeding, including the date of trial, if known. If no hearing date is presently scheduled, the court may set one and specify the date in the order. After the order is signed, a copy of the signed

> order must be served on the client and on all parties that have appeared in the case. The court may delay the effective date of the order relieving counsel until proof of service of a copy of the signed order on the client has been filed with the court.

(Rule 3.1362(e).)

B. Discussion

Here, Counsel submitted his declaration which states that he believed there has been a breakdown of the attorney-client relationship wherein in Counsel's continued representation of Defendant would be unreasonably difficult. He further states that breakdown in communication, breaches of material terms of the attorney-client agreement, and other conduct has led to the instant motion. (See Rules of Prof. Conduct, Rule 1.16(b)(4) "[A] lawyer may withdraw from representing a client if: (4) the client insists upon taking action that the lawyer considers repugnant or with which the lawyer has a fundamental disagreement…"].)

With regard to service, Counsel states that he served Defendant by mail at its last known address with copies of the motion papers served with his declaration. He further states that Defendant has been served by mail at its last known address and he confirmed within the past 30 days that the address is current. The papers were mailed with a return receipt requested. This is sufficient to meet the requirements of Rule 3.1362(d)(1)(A).

Counsel has provided a proposed order on the correct judicial counsel form (MC-053). The proposed order indicates that there is not another hearing scheduled and trial in this action has not been set. The Court's docket reflects the same.

Based on the foregoing, Counsel's motion is GRANTED.

II. CONCLUSION

The motion to be relieved as counsel is GRANTED.

The Court will prepare the final order.

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Calendar Line 3

Case Name: *Lonnie Wong v. Ro Health, LLC, et al.*

Case No.: 24CV452239

This is a putative class and representative action under the Private Attorneys General Act ("PAGA"). Plaintiff Lonnie Wong alleges that defendant Ro Health LLC ("Defendant" or "Ro") committed various wage and hour violations.

Before the Court is Plaintiffs' Lonnie Wong and Miriam Wilson's (collectively, "Plaintiffs") petition for coordination and application for an immediate stay, which is opposed by Defendant and plaintiff Vianna Monarque. For reasons discussed below, the Court DENIES the motion.

V. BACKGROUND

According to the allegations of the operative first amended complaint ("FAC"), Defendant failed to: pay all wages owed, including minimum and overtime wages; provide compliant meal periods or compensation in lieu thereof; provide rest periods or compensation in lieu thereof; provide complete and accurate wage statements; timely pay wages; pay sick wages; pay wages due upon termination; and reimburse for necessary business expenses. Plaintiff Wong also asserted a claim for discrimination under the Fair Employment and Housing Act and a claim for wrongful termination in violation of public policy.

VI. REQUEST FOR JUDICIAL NOTICE

Defendant Ro request judicial notice of the following items:

(1) The July 27, 2025 order denying Ford's petition for coordination in *In re Ford Motor Co.*, JCCP No. 4827: Exhibit A;
(2) The December 1, 2023 minute order in *Southern California Discount Tire Wage and Hour Cases,* JCCP 5296 denying Barajas' petition for coordination: Exhibit B;
(3) The October 23, 2025 order in *Jose Francisco Hernandez v. GMRI, Inc., et al.*, JCCP No. 5402 denying plaintiffs' petition for coordination: Exhibit C; and
(4) The October 9, 2025 order in *Jorge Rivera v. National Street and Shipbuilding Company, et al.*, JCCP No. 5393 denying Carroll's petition for coordination: Exhibit D.

Evidence Code section 452, subdivision (d), permits judicial notice of records of any court of this state or any court of record of the United States or of any state of the United States. (Code Civ. Proc., § 452, subd. (d).) Exhibits A-D are court records, therefore they are proper items of judicial notice. Thus, the Court takes judicial notice of the existence of the documents and the legal effect of the court orders but does not take notice of the truth of any disputed contents. (*Oh v. Teachers Ins. & Annuity Assn. of America* (2020) 53 Cal.App.5th 71, 79-81.) Ro's request for judicial notice is GRANTED.

VII. EVIDENTIARY OBJECTIONS

Plaintiffs submit evidentiary objections to the declaration of Maria Halwadjian and objections to Defendant's request for judicial notice.

A. Halwadjian Declaration

Objection 1 is OVERRULED and the request to strike is DENIED.

B. Request For Judicial Notice

Objections 1-4 are OVERRULED and the request to strike is DENIED.

VIII. PETITION FOR COORDINATION

Plaintiffs move to coordinate the following cases:

(1) *Wong v. Ro Health, LLC* (*Wong*) Case No. 24CV452239, filed in Santa Clara County Superior Court on November 20, 2024;

(2) *Wilson v. Ro Health, LLC* (*Wilson*), Case No. STK-CV-UOE-202400016340, filed in San Joaquin County Superior Court on November 21, 2024;

(3) Ralh v. Ro Health LLC (*Ralh*), Case No. 25CV022017, filed in Sacramento County Superior Court on September 16, 2025; and

(4) Ralh v. Ro Health LLC (*Ralh* PAGA Action), Case No. 25CV028110, filed in Sacramento County Superior Court on November 20, 2025

A. Legal Standard

California Rules of Court, rule 3.400, subdivision (a), defines a "complex case" as "an action that requires exceptional judicial management to avoid placing unnecessary burdens on the court or the litigants and to expedite the case, keep costs reasonable, and promote effective decision making by the court, the parties, and counsel."

In deciding whether an action is a complex case under (a), the court must consider, among other things, whether the action is likely to involve:

(1) Numerous pretrial motions raising difficult or novel legal issues that will be time-consuming to resolve;

(2) Management of a large number of witnesses or a substantial amount of documentary evidence;

(3) Management of a large number of separately represented parties;

(4) Coordination with related actions pending in one or more courts in other counties, states, or countries, or in a federal court; or

(5) Substantial postjudgment judicial supervision.

(California Rules of Court, rule 3.400, subdivision (b).) Title 3, Division 4, Chapter 7 of the California Rules of Court (i.e., rules 3.501 through 3.550) provides for the coordination of complex actions.

Code of Civil Procedure section 404, provides, "[w]hen civil actions sharing a common question of fact or law are pending in different courts, a petition for coordination may be submitted to the Chairperson of the Judicial Council, by the presiding judge of any such court, or by any party to one of the actions after obtaining permission from the presiding judge, or by all of the parties plaintiff or defendant in any such action. A petition for coordination, or a motion for permission to submit a petition, shall be supported by a declaration stating facts showing that the actions are complex, as defined by the Judicial Council and that the actions meet the standards specified in Section 404.1. On receipt of a petition for coordination, the Chairperson of the Judicial Council may assign a judge to determine whether the actions are complex, and if so, whether coordination of the actions is appropriate, or the Chairperson of the Judicial Council may authorize the presiding judge of a court to assign the matter to judicial officers of the court to make the determination in the same manner as assignments are made in other civil cases." (Code of Civ. Proc., § 404.)

"Coordination of civil actions sharing a common question of fact or law is appropriate if one judge hearing all of the actions for all purposes in a selected site or sites will promote the ends of justice taking into account" the following factors: "whether the common question of fact or law is predominating and significant to the litigation; the convenience of parties, witnesses, and counsel; the relative development of the actions and the work product of counsel; the efficient utilization of judicial facilities and manpower; the calendar of the courts; the disadvantages of duplicative and inconsistent rulings, orders, or judgments; and, the likelihood of settlement of the actions without further litigation should coordination be denied." (Code Civ. Proc., § 404.1 ("Section 404.1"); see also California Rules of Court, rule 3.521 [setting forth the requirements for a petition for coordination].) The trial court exercises its discretion in weighing and balancing these factors to determine whether coordination best serves the ends of justice in a particular case. (*Pesses v. Superior Court (Pacific Southwest Airlines)* (1980) 107 Cal.App.3d 117, 125-126.)

B. Discussion

Plaintiffs move for coordination of *Wong, Wilson,* and both *Ralh* matters.

The *Wong* action asserts eleven causes of action based on Labor Code violations and a twelfth cause of action seeking PAGA penalties. The *Wilson* action asserts six causes of action for Labor Code violations and a seventh cause of action seeking PAGA penalties. The *Ralh* class action asserts ten causes of action for Labor Code violations and violations of the Business & Professions Code while the *Ralh* PAGA action asserts a single cause of action for PAGA penalties.

On July 11, 2025, the parties in the *Wong* action agreed to mediate the *Wong* and *Wilson* actions and they filed a stipulation to stay. On October 6, 2025, the Court ordered the matter stayed pending the mediation which was scheduled for April 14, 2026. The Court prohibited Defendant from initiating contact with any putative class members during the stay for purposes of resolving the claims in the action, except for class members who independently asserted a claim against Defendant. (October 6, 2025 Order, ¶ 9.) On September 16, 2025, Plaintiff Ralh provided written notice to the LWDA and Defendants and on April 13, 2026, an amended written notice was provided to the LWDA and Defendants.

On March 31, 2026, a settlement was reached in the *Ralh* actions after the parties participated in mediation with Doug Leach. On April 9, 2026, the parties filed a notice of settlement in Sacramento County Superior Court. The motion for preliminary approval of class action and PAGA settlement is set for October 9, 2026. The mediation for the *Wong*/*Wilson* action was cancelled on April 6, 2026.

Plaintiffs argue all the actions should be considered complex and coordination will "promote the ends of justice" under Code of Civil Procedure section 404.1 because the actions share common questions of law and fact; it will be more convenient for the parties, witnesses, and counsel; the relative development of the actions favor coordination; coordination will promote judicial economy; and coordination will ensure a fair settlement is reached. (Petition, pp. 10:13-16:7.)

There are clearly common questions of fact and law as the actions arise from the same purported wage and hour policies. Moreover, the cases involve overlapping class and PAGA theories which are all asserted against Defendant. Thus, this factor supports coordination. Next, Plaintiffs argue that the convenience of the parties, witnesses, and counsel favor coordination. Here, it would be more efficient for the cases to have centralized discovery and motion practice. With regard to the development of the actions, the *Wong* and *Wilson* matters were filed first while the *Ralh* matters were filed about a year after. However, the *Ralh* matters have reached a settlement and the motion for preliminary approval is set for hearing in October 2026 in Sacramento County Superior Court.

Plaintiffs raise arguments regarding the fairness of the *Ralh* settlement, however, that issue is not proper for this Court to consider as the *Ralh* actions were filed in Sacramento County Superior Court, nor is it proper for the Court to attempt to resolve on a petition for coordination. Moreover, in this Court's view, the disputes regarding the *Ralh* settlement weigh against coordination of the actions.

As to the utilization of judicial facilities and manpower, here, the *Wong* and *Wilson* actions are at a different stage than the *Ralh* actions. As the Court explained above, it cannot resolve the disputes as to the fairness of the *Ralh* settlement. Thus, in the absence of a determination that the settlement is improper or cannot move forward, coordination would not be a more efficient use of judicial resources. Thus, based on the information before the Court at this time, these factors weigh against coordination.

Plaintiffs argue there is a risk of inconsistent rulings. Defendant argues there is no risk of inconsistent ruling because once the *Ralh* settlement is approved, it will extinguish all class and PAGA claims. However, the settlement has not been approved so the Court cannot conclude at this time that there is no risk of duplicative or inconsistent rulings. Accordingly, it appears this factor supports coordination.

Plaintiffs argue coordination would enable a fair settlement of all the actions. Defendant argues this does not support coordination because the *Ralh* actions have already settled. As noted above, the disputes regarding the *Ralh* settlement would be properly resolved by the Sacramento County Superior Court. Moreover, if the motion for preliminary approval is denied, that does not mean that coordination of the actions would increase the likelihood of settlement. Thus, it appears this factor weighs against coordination of the actions.

Based on the foregoing and on balance of the aforementioned factors, the Court finds that the section 404.1 analysis weighs against coordination of the actions. Accordingly, Plaintiff's petition is DENIED.

IX. CONCLUSION

Plaintiffs' petition for coordination is DENIED.

The Court will prepare the order.

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Calendar Line 4

Case Name: *Maria Castro v. The Villages Golf and Country Club*

Case No.: 25CV469636

This is a putative class and representative action under the Private Attorneys General Act ("PAGA") action. Plaintiff Maria Cristina Castro alleges defendant The Villages Golf and Country Club committed various wage and hour violations.

Before the Court is Defendant's demurrer to Plaintiff's first amended complaint ("FAC"), which is opposed. As discussed below, the Court OVERRULES the demurrer.

X. BACKGROUND

According to the allegations of the operative FAC, Plaintiff was employed as a non-exempt employee, with duties including preparing and cooking food, and customer service. (FAC, ¶ 3.) Defendant failed to, among other things: pay wages including overtime and minimum wages; provide meal and rest periods or compensation in lieu thereof; provide complete and accurate wage statements; and timely pay final wages.

Based on the foregoing, Plaintiff initiated this action on June 30, 2025, with the filing of the Complaint and on July 7, 2025, she filed the operative FAC, which asserts the following causes of action: (1) failure to pay overtime wages; (2) failure to pay minimum wages; (3) failure to provide meal periods; (4) failure to provide rest periods; (5) waiting time penalties; (6) wage statement violations; (7) failure to timely pay wages; (8) failure to indemnify; (9) violation of Labor Code § 227.3; (10) unfair competition; and (11) civil penalties under PAGA.

XI. REQUEST FOR JUDICIAL NOTICE

In support of its motion, Defendant requests judicial notice of the following items:

(1) Plaintiff's pre-lawsuit notification to the Labor & Workforce Development Agency ("LWDA") and Defendant, filed on January 5, 2025: <u>Exhibit A;</u>
(2) Defendant's Notice of Cure to the LWDA, filed on February 7, 2025: <u>Exhibit B</u>
(3) The LWDA's response to Defendant's Notice of Cure, sent on February 13, 2025: <u>Exhibit C</u>
(4) Plaintiff's second pre-lawsuit notification to the LWDA and Defendant, filed on May 2, 2025: <u>Exhibit D</u>;
(5) Defendant's response to Plaintiff's second notification, filed June 3, 2025: <u>Exhibit E</u>; and
(6) Plaintiff's FAC.

As an initial matter, the Court declines to take judicial notice of the FAC because it is the operative pleading subject to the instant motion, thus, judicial notice is not necessary. (See *Paul v. Patton* (2015) 235 Cal.App.4th 1088, 1091, fn. 1 [Sixth Appellate District denies request for judicial notice as unnecessary as the court must consider allegations in the complaint and attached exhibits in ruling on demurrer].)

Next, Plaintiff opposes judicial notice of Exhibit C on the grounds that the letter does not constitute an official act of the agency. The Court agrees. Here, the letter is a communication to attorneys, however, it does not appear that it is meant to be an official act or part of public records.

Next, section 452, subdivision (h) does not apply to this document. (See *Gould v. Md. Sound Indus*. (1995) 31 Cal.App.4th 1137, 1145 ["Judicial notice under Evidence Code section 452, subdivision (h) is intended to cover facts which are not reasonably subject to dispute and are easily verified."].)

In addition, a demurrer cannot be turned into an evidentiary hearing through a request for judicial notice. "For a court to take judicial notice of the meaning of a document submitted by a demurring party based on the document alone, without allowing the parties an opportunity to present extrinsic evidence of the meaning of the document, would be improper. A court ruling on a demurrer therefore cannot take judicial notice of the proper interpretation of a document submitted in support of the demurrer. In short, a court cannot by means of judicial notice convert a demurrer into an incomplete evidentiary hearing in which the demurring party can present documentary evidence and the opposing party is bound by what that evidence appears to show." (*Fremont Indemnity Co. v. Fremont General Corp.* (2007) 148 Cal.App.4th 97, 114-115, internal citations omitted; see also *New Livable California v. Assoc. of Bay Area Governments* (2020) 59 Cal.App.5th 709, 716 [citing *Fremont Indemnity Co*. among other decisions].)

Based on the foregoing, the Court will take judicial notice of the existence of Exhibit A-E and but it does not take notice of the truth of any disputed contents. (*Oh v. Teachers Ins. & Annuity Assn. of America* (2020) 53 Cal.App.5th 71, 79-81 (*Oh*).) Accordingly, Defendant's request for judicial notice is GRANTED, in part and DENIED, in part.

XII. DEMURRER

Defendant demurs to the eleventh cause of action on the ground that Plaintiff failed to comply with the PAGA mandatory pre-filing requirements.

A. Legal Standard

The function of a demurrer is to test the legal sufficiency of a pleading. (*Trs. Of Capital Wholesale Elec. Etc. Fund v. Shearson Lehman Bros.* (1990) 221 Cal.App.3d 617, 621.) Consequently, "[a] demurrer reaches only to the contents of the pleading and such matters as may be considered under the doctrine of judicial notice." (*South Shore Land Co. v. Petersen* (1964) 226 Cal.App.2d 725, 732, internal citations and quotations omitted; see also Code Civ. Proc., § 430.30, subd. (a).) "It is not the ordinary function of a demurrer to test the truth of the plaintiff's allegations or the accuracy with which he describes the defendant's conduct. … Thus, … the facts alleged in the pleading are deemed to be true, however improbable they may be." (*Align Technology, Inc. v. Tran* (2009) 179 Cal.App.4th 949, 958, internal citations and quotations omitted.)

In ruling on a demurrer, the allegations of the complaint must be liberally construed, with a view to substantial justice between the parties. (*Glennen v. Allergan, Inc.* (2016) 247 Cal.App.4th 1, 6.) Nevertheless, while "[a] demurrer admits all facts properly pleaded, [it does] not [admit] contentions, deductions or conclusions of law or fact." (*George v. Automobile Club of Southern California* (2011) 201 Cal.App.4th 1112, 1120.)

B. Discussion

Defendant argues that Plaintiff's PAGA notices are not legally sufficient.

On January 6, 2025, Plaintiff's counsel filed an LWDA notice. (Defendant's Memorandum of Points and Authorities ("MPA"), p. 2:3.) On February 7, 2025, Defendant submitted a notice of cure to the LWDA. (MPA, p. 2:22.) On February 13, 2025, the LWDA provided a response to Defendant's Notice of Cure. (MPA, p. 2:23.) On May 2, 2025, Plaintiff's new counsel filed a new PAGA notice on her behalf. (MPA, p. 3:11-13.)

Here, the Court has only taken judicial notice of the existence of Plaintiff's PAGA notices but not the substance of the information contained therein. Therefore, to the extent Defendant seeks for the Court to evaluate whether the notices provided sufficient information, the Court declines to make a determination as that goes beyond the scope of demurrer.

In order to have standing to bring a PAGA action, a plaintiff must be an "aggrieved employee," which is defined as "any person who was employed by the alleged violator and against whom one or more of the alleged violations was committed." (Lab. Code, § 2699, subd. (c).) Before filing suit, the aggrieved employee "must notify the employer and the [LWDA] of the specific labor violations alleged, along with the facts and theories supporting the claim." (*Kim v. Reins California, Inc.* (2020) 9 Cal.5th 73, 81.) "If the agency does not investigate, does not issue a citation, or fails to respond to the notice within 65 days, the employee may sue." (*Ibid*., citing Lab. Code, § 2699.3, subd. (a)(2).) Thus, where the state declines to investigate, the employee is "deputized" to "seeking any penalties the state can." (*ZB, N.A. v. Superior Court* (2019) 8 Cal.5th 175, 185.)

The FAC alleges that on January 6, 2025, Plaintiff provided written notice to the LWDA and to Defendants. (FAC, ¶ 13.) On April 2, 2025, she filed a notice of withdrawal regarding the January 6, 2025 notice. (*Ibid*.) On May 2, 2025, she provided the operative written notice. (*Ibid*.) The LWDA did not provide notice of its intention to investigate the alleged violations within sixty-five (65) calendar days of the May 2, 2025 date. (FAC, ¶ 19.)

Defendant largely relies on Exhibit C, which is the LWDA's response to Defendant's Notice of Cure, which is dated February 13, 2025. However, the FAC alleges that the January 6, 2025 notice was withdrawn and that the May 2, 2025 notice is the operative notice. (See FAC, ¶¶ 13, 19.) Thus, there is no response from the LWDA as to Plaintiff's operative notice. In accepting these allegations as true, as the Court must on demurrer, there are no contrary allegations or judicially noticeable facts before the Court to bring the sufficiency of Plaintiff's operative PAGA notice into question. (See *Align Technology, supra,* 179 Cal.App.4th at p. 958.) Defendant does not proffer any other arguments as to why the eleventh cause of action is deficient.

Based on the foregoing, Defendant's demurrer to the eleventh cause of action is OVERRULED.

XIII. CONCLUSION

Defendant's demurrer to the eleventh cause of action is OVERRULED.

The Court will prepare the order.

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Calendar Lines 5-6

Case Name: *Isabella Stojanov v. GDH Consulting, Inc.*
Case No.: 25CV477079

This is a class action arising from defendants GDH Consulting, Inc. ("GDH"); Micro Focus LLC ("Micro Focus"); Micro Focus (US), Inc. ("Micro Focus US") (collectively, "Defendants") alleged wage and hour violations.

Before the Court is Defendant GDH's motion to compel arbitration, dismiss class claims, and stay civil proceedings; and Micro Focus and Micro Focus US's (collectively, "Micro Focus") joinder to GDH's motion, which are both opposed. As discussed below, the Court DENIES GDH's motion to compel arbitration, its request to dismiss Plaintiff's class claims, and request to stay are MOOT. Additionally, the Court DENIES Micro Focus's joinder.

XIV. BACKGROUND

According to the allegations of the operative complaint ("Complaint"), Plaintiff worked for Defendants from October 2020 through October 2022 as a Consultant and Marketing Project Administrator. (Complaint, ¶ 22.) Plaintiff performed various duties such assisting the Chief Executive Officer ("CEO") with event planning, registration, budget management, vendor coordination, and supporting remote training and marketing efforts. (*Ibid*.)

Defendants failed to: pay wages, including minimum and overtime wages; provide meal and/or rest periods or compensation in lieu thereof; timely pay wages during employment; provide compliant wage statements; timely pay wages due upon separation; reimburse for necessary business expenses.

October 7, 2025, Plaintiff initiated this action with the filing of the Complaint, which asserts the following causes of action: (1) Violation of Labor Code §§ 1194, 1197, and 1197.1 (Minimum Wages); (2) Violation of Labor Code §§ 510 and 1198 (Unpaid Overtime;); (3) Violation of Labor Code §§ 226.7 and 512, subdivision (a) (Meal Break Violations); (4) Violation of Labor Code § 226.7 (Rest Break Violations); (5) Violation of Labor Code §§ 204 and 210 (Wages Not Timely Paid During Employment); (6) Violation of Labor Code § 226, subdivision (a) (Wage Statement Violations); (7) Violation of Labor Code §§ 201, 202, and 203 (Untimely Final Wages); (8) Violation of Labor Code §§ 2800 and 2802 (Failure to Reimburse Necessary Business Expenses); (9) Violation of Labor Code §§ 925 and Business & Profession Code 16600, *et seq*; and (10) Violation of Business & Profession Code §§ 17200, *et seq*.

XV. EVIDENTIARY OBJECTIONS

In support of its reply, GDH submits evidentiary objections to Plaintiff's declaration.

Objections 1-5 are OVERRULED.

XVI. GDH'S MOTION TO COMPEL ARBITRATION

GDH moves for an order compelling arbitration and staying proceedings pursuant to the arbitration agreement (the "Agreement").

A. Legal Standard

In ruling on a motion to compel arbitration, the Court must inquire as to (1) whether there is a valid agreement to arbitrate, and (2) if so, whether the scope of the agreement covers the claims alleged. (See *Howsan v. Dean Witter Reynolds* (2002) 537 U.S. 79, 84.) "Under both federal and state law, the threshold question presented by a petition to compel arbitration is whether there is an agreement to arbitrate. [Citations.] The threshold question requires a response because if such an agreement exists, then the court is statutorily required to order the matter to arbitration." (*Fleming v. Oliphant Financial, LLC* (2023) 88 Cal.App.5th 13, 19, internal quotation marks omitted.) The agreements at issue expressly provide that they are governed by the Federal Arbitration Act.

"The FAA [Federal Arbitration Act], which includes both procedural and substantive provisions, governs [arbitration] agreements involving interstate commerce." (*Avila v. Southern California Specialty Care, Inc.* (2018) 20 Cal.App.5th 835, 840.) However, "[t]he procedural aspects of the FAA do not apply in state court absent an express provision in the arbitration agreement." (*Ibid*.) Where the Agreement expressly provides that it "shall be interpreted and enforced in accordance with the [FAA]," federal procedural and substantive law apply. (See *Rodriguez v. American Technologies, Inc*. (2006) 136 Cal.App.4th 1110, 1122 ["[t]he phrase 'pursuant to the FAA' is broad and unconditional," and unambiguously adopts both the procedural and substantive aspects of the FAA].)

Under the FAA, the Court must grant a motion to compel arbitration if any suit is brought upon "any issue referable to arbitration under an agreement for such arbitration" (9 U.S.C. § 3), subject to "such grounds as exist at law or in equity for the revocation of any contract…" (9 U.S.C. § 2). The moving party must prove by a preponderance of evidence the existence of the arbitration agreement and that the dispute is covered by the agreement. (See *Cruise v. Kroger Co.* (2015) 233 Cal.App.4th 390, 396 [under both federal and state law, "the threshold question presented by a petition to compel arbitration is whether there is an agreement to arbitrate"]; *Rosenthal v. Great Western Fin'l Securities Corp.* (1996) 14 Cal.4th 394, 413 (*Rosenthal*) [moving party's burden is a preponderance of evidence].) The burden then shifts to the resisting party to prove a ground for denial. (*Rosenthal*, *supra,* 14 Cal.4th at p. 413.)

"In determining the rights of parties to enforce an arbitration agreement within the FAA's scope, courts apply state contract law while giving due regard to the federal policy favoring arbitration." (*Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC* (2012) 55 Cal.4th 223, 236 (*Pinnacle*).)

But the FAA's policy favoring arbitration … is merely an acknowledgment of the FAA's commitment to overrule the judiciary's longstanding refusal to enforce agreements to arbitrate and to place such agreements upon the same footing as other contracts. Or in another formulation: The policy is to make arbitration agreements as enforceable as other contracts, but not more so. Accordingly, a court must hold a party to its arbitration contract just as the court would to any other kind.

(*Morgan v. Sundance, Inc*. (2022) 596 U.S. 411 (*Morgan*), internal citations and quotation marks omitted.)

On a motion to compel arbitration under the CAA, "[t]he party seeking arbitration bears the burden of proving the existence of an arbitration agreement, and the party opposing arbitration bears the burden of proving any defense, such as unconscionability." (*Pinnacle, supra,* 55 Cal.4th at p. 236.)

B. Discussion

GDH argues there is a valid arbitration agreement and requests for a stay pending arbitration.

1. Existence of an Agreement

As one Court of Appeal summarized,

> [T]he moving party bears the burden of producing "prima facie evidence of a written agreement to arbitrate the controversy." (*Rosenthal, supra*, 14 Cal.4th at p. 413.) The moving party "can meet its initial burden by attaching to the [motion or] petition a copy of the arbitration agreement purporting to bear the [opposing party's] signature." (*Bannister v. Marinidence Opco, LLC* (2021) 64 Cal.App.5th 541, 543–544 [279 Cal. Rptr. 3d 112] (*Bannister*).) Alternatively, the moving party can meet its burden by setting forth the agreement's provisions in the motion. (*Condee v. Longwood Management Corp.* (2001) 88 Cal.App.4th 215, 219 [105 Cal. Rptr. 2d 597] (*Condee*); see also Cal. Rules of Court, rule 3.1330 ["The provisions must be stated verbatim or a copy must be physically or electronically attached to the petition and incorporated by reference."].) For this step, "it is not necessary to follow the normal procedures of document authentication." (*Condee*, at p. 218.) If the moving party meets its initial prima facie burden and the opposing party does not dispute the existence of the arbitration agreement, then nothing more is required for the moving party to meet its burden of persuasion.

(*Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 165–166.)

GDH provides the declaration of Iryna Ravikovska Shekhovtsov ("Shekhovtsov"), an Engagement Specialist/Branch Coordinator at GDH, who is familiar with the recruitment, onboarding, and recordkeeping procedures. (Shekhovtsov Declaration ("Decl."), ¶¶ 2-5.) On October 19, 2020, Plaintiff was sent an email with the following documents attached: (1) the GDH application; (2) Exhibit A-Work Schedule; (3) the hourly employment agreement, containing the Agreement; and (4) the California Hire Notice. (Shekhovtsov Decl., ¶ 1, Exh. 1.) Plaintiff was instructed to review the documents carefully, complete them, and return the signed copies before beginning her assignment. (Shekhovtsov Decl., ¶ 12.) She was provided with the opportunity to review the documents on her own time and contact GDH with any question regarding the terms to the hourly employment agreement or the Agreement and to Shekhovtsov's knowledge, Plaintiff did not request additional time, did not express confusion about the documents, nor did she raise objections prior to signing the Agreement. (*Ibid*.) Plaintiff physically signed the hourly employment agreement, which contained the Agreement and returned the documents to Shekhovtsov via email on October 20, 2020. (Shekhovtsov Decl., ¶ 13.)

The Agreement provides, "Consultant and GDH agree that, to the maximum extent permitted by law, any dispute or claim arising from or relating in any way to Consultant's employment with GDH, including pre-employment, employment, and post-employment claims, or any provision of this Agreement…shall be submitted to arbitration pursuant to the Employment Arbitration Rules and Mediation Procedures… Claims subject to arbitration shall include contract claims, tort claims, claims relating to compensation, and claims based on any federal, state, or local law, including but not limited to claims arising under Title VII of the Civil Rights Act of 1964, the Age Discrimination in Employment Act, the Americans with Disabilities Act, the Equal Pay Act, and the Fair Labor Standards Act."

Based on the foregoing, GDH provides admissible evidence to establish that a valid agreement exists between the parties. (See *Gamboa, supra,* 72 Cal.App.5th at pp. 165–166.)

Once the party seeking arbitration meets it burden of proving the existence of an arbitration agreement, "the party opposing arbitration bears the burden of proving any defense, such as unconscionability." (*Pinnacle, supra,* 55 Cal.4th at p. 236.) Here, Plaintiff does not dispute the existence of the Agreement, but rather she argues the Agreement is procedurally and substantively unconscionable.

2. Unconscionability

Plaintiff argues the Agreement is substantively and procedurally unconscionable.

"The general principles of unconscionability are well established. A contract is unconscionable if one of the parties lacked a meaningful choice in deciding whether to agree and the contract contains terms that are unreasonably favorable to the other party." (*OTO, LLC v. Kho* (2019) 8 Cal.5th 111, 125, [internal citation omitted] (*OTO*).) Unconscionability has both procedural and substantive elements. (*Armendariz v. Foundation Health Psychare Services*, *Inc.* (2000) 24 Cal.4th 83, 114 (*Armendariz*); *Jones v. Wells Fargo Bank* (2003) 112 Cal.App.4th 1527, 1539 (*Jones*).) Both must appear for a court to invalidate a contract or one of its individual terms (*Armendariz, supra*, 24 Cal.4th at p. 114; *Mercuro v. Superior Court* (2002) 96 Cal.App.4th 167, 174), but they need not be present in the same degree: "the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa." (*Armendariz*, *supra*, 24 Cal.4th at p. 114.) "A contract's substantive fairness must be considered in light of any procedural unconscionability in its making." (*Ibid*., [internal quotations and citation omitted].) "The burden of proving unconscionability rests upon the party asserting it." (*OTO*, *supra*, 8 Cal.5th at 126.)

i. Procedural Unconscionability

Procedural unconscionability focuses on the elements of oppression and surprise. (*Armendariz, supra,* 24 Cal.4th at p. 114.) "Oppression arises from an inequality of bargaining power which results in no real negotiation and an absence of meaningful choice," while "[s]urprise involves the extent to which the terms of the bargain are hidden in a prolix printed form drafted by a party is a superior bargaining position." (*Davis v. TWC Dealer Group, Inc*. (2019) 41 Cal.App.5th 662, 671, [internal citation and quotation marks omitted].)

Analyzing procedural unconscionability "begins with an inquiry into whether the contract is one of adhesion" (*Armendariz*, 24 Cal.4th at 113) i.e., one that is "standardized, generally on a preprinted form, and offered by the party with superior bargaining power 'on a take-it-or-leave-it basis.'" (*OTO, LLC v. Kho* (2019) 8 Cal.5th 111, 126.) Arbitration agreements imposed as a condition of employment are typically deemed to be adhesive and the determinative inquiry in such a circumstance is "whether circumstances of the contract's formation created such oppression or surprise that closer scrutiny of its overall fairness is required." (*Id*.) "Oppression occurs where a contract involves lack of negotiation and meaningful choice, surprise where the allegedly unconscionable provision is hidden within a prolix printed form." (*Pinnacle, supra,* 55 Cal.4th at p. 247.) Circumstances relevant to establishing oppression include: the amount of time the party is given to consider the agreement; the amount and type of pressure exerted on them to sign; the length of the proposed contract and the length and complexity of the challenged provision; the education and experience of the party; and whether the party's review of the agreement was aided by an attorney. (*Grand Prospect Partners, L.P. v. Ross Dress for Less, Inc.* (2015) 232 Cal.App.4th 1332, 1348.) In pre-hiring settings, such as the one at bar, courts must be "particularly attuned" to the danger of oppression and overreaching. (*Armendariz, supra,* at 115.)

Here, Plaintiff argues the Agreement is procedurally unconscionable because it is a contract of adhesion; it was offered as a mandatory condition of employment in circumstances suggesting significant oppression; and the Agreement bears considerable surprise. (Plaintiff's Opposition ("Opp."), p. 3:23-26.) In support, Plaintiff provides her declaration in which she states she does not remember signing any documents prior to beginning work at GDH; however, she felt pressured to accept the offer of employment. (Plaintiff Decl., ¶ 3.) At the time of the job offer, she had taken a leave of absence from her university and was living with her grandpa because she could not afford rent or a car. (*Ibid*.) She spoke with Bianca Zavala, a GDH recruiter, prior to accepting the offer of employment regarding the rate of pay and she was immediately shut down. (*Ibid*.) As a result, Plaintiff did not believe or know that she could negotiate any aspect of her employment. (*Ibid*.) Plaintiff further states that she felt pressure to begin working for GDH so that she could start supporting herself without burdening her family. (*Ibid*.)

A contract of adhesion in the employment context adds a modest amount of procedural unconscionability and, the amount of procedural unconscionability is increased when an adhesion contract is combined with other issues. (See *Nguyen v. Applied Medical Resources Corp.* (2016) 4 Cal.App.5th 232, 248.) The Court finds procedural unconscionability is present based on the requirement that Plaintiff sign the Agreement to begin employment with Defendant. However, in order to be unconscionable, there must be procedural and substantive unconscionability. (See *Armendariz, supra,* 24 Cal.4th at p. 114.)

ii. Substantive Unconscionability

Substantive unconscionability focuses on the actual terms of the agreement and evaluates whether they create "overly harsh" or "one-sided results", (*Armendariz*, *supra*, 24 Cal.4th at p. 114, internal citation and quotations omitted), that is, whether they reallocate risks in an objectively unreasonable or unexpected manner. (*Jones*, *supra*, 112 Cal.App.4th at p. 1539). "In assessing substantive unconscionability, the paramount consideration is mutuality." (*Pinela v. Neiman Marcus Group, Inc.* (2015) 238 Cal.App.4th 227, 241 [internal citation and quotation marks omitted].) Arbitration agreements are substantively unconscionable where they lack a "modicum of bilaterality," "without at least some reasonable justification for such one-sidedness based on 'business realities.'" (*Armendariz*, *supra*, 24 Cal.4th at p. 117.)

"Substantive unconscionability examines the fairness of a contract's terms. This analysis ensures that contracts, particularly contracts of adhesion, do not impose terms that have been variously described as overly harsh, unduly oppressive, so one-sided as to shock the conscience, or unfairly one-sided. All of these formulations point to the central idea that the unconscionability doctrine is concerned not with a simple old-fashioned bad bargain, but with terms that are unreasonably favorable to the more powerful party." (*OTO*, *supra*, 8 Cal.5th at pp. 129-130, internal citation and quotations omitted.)

Plaintiff argues the Agreement is substantively unconscionable because the confidentiality agreement, when read together with the Agreement, is one sided; the administrative carve-out waives the right to labor commissioner wage proceedings; the Agreement improperly limits the costs covered by GDH; the Agreement improperly waives PAGA claims; and the delegation clause delegates PAGA arbitrability and formation arguments.

a. <u>Whether the Agreement Should be Read with the Confidentiality Agreement</u>

Plaintiff argues that the Agreement should be read with the Confidentiality Agreement.[2] (Opp., pp. 8:28-9:6.) She asserts that they must be read together in terms of evaluating substantive unconscionability because they were executed as part of the same onboarding process.

Plaintiff relies heavily on *Gurganus v. IGS Solutions, LLC* (2025) 115 Cal.App.5th 327 (*Gurganus*), which involved an appeal from the trial court's denial of defendant's motion to compel arbitration. (*Id*. at p. 330.) The plaintiff was employed by the defendant and five months into her employment she electronically signed additional employment documents including the arbitration agreement and a confidentiality and non-disclosure agreement ("CND"). (*Ibid*.) Unlike the former, the latter did not contain an opt out or inform employees that they could decide not to sign. (*Id*. at p. 332.) Both contained severability provisions. (*Ibid*.) The appellate court affirmed the trial court's decision. (*Id*. at p. 334.) In doing so, the appellate court read the arbitration agreement and CND together. (*Id*. at p. 335.) The Court found the arbitration agreement procedurally and substantively unconscionable and that severance was not warranted. (*Id*. at pp. 339-340.)

[2] The Confidentiality Agreement and Agreement are both contained within the Hourly Employment Agreement.

Here, Plaintiff notes that she executed the Agreement and the Confidentiality Agreement as part of the same onboarding process as a new hire. Plaintiff was provided with the conditional offer of employment and the other employment documents at the same time. Given these facts, the Court sees no reason why the Agreement and the Confidentiality Agreement should not be read together.

Here, the Confidentiality Agreement provides a remedy for breaches of confidentiality; however, it does not change the procedures for the arbitration process. Nevertheless, the Confidentiality Agreement provides,

> Consultant acknowledges and agrees that the disclosure of any Confidential Information or any other violation of the terms of Section 4 of this Agreement would cause immediate and irreparable injury, loss and damage to GDH, Client and/or its customers and that an adequate remedy at law for such injury, loss and damage may not exist, and that in the event of such disclosure or threatened disclosure, GDH, Client and/or its customers shall be entitled to institute and prosecute proceedings in a court of competent jurisdiction to obtain temporary and/or permanent injunctive relief to enforce a provision of this Agreement, without the necessity of proof of actual damage or loss.

(Confidentiality Agreement, § 4, subd. (e).)

This permits GDH to seek judicial remedies for specific claims while compelling Plaintiff's employment-related claims to arbitration. Furthermore, the provision allows for GDH to seek permanent injunctive relief. Such relief is not available for Plaintiff. Thus, the Court finds there is substantive unconscionability on this basis.

b. <u>Administrative Carve-Out</u>

Next, Plaintiff argues that the administrative carve-out is selective and prevents Plaintiff from bringing wage claims to the Labor Commissioner. (Opp., p. 11:17-18.)

The Agreement provides, "[t]his Arbitration agreement does not apply to any dispute involving breaches of obligations contained in paragraph 6, hereof, claims for workers' compensation, claims for unemployment compensation, claims under the National Relations Act and charges filed with federal e.g. National Labor Relations Board, or state administrative agencies, including private attorney general actions (however, all state law claims must be addressed prior to private attorney general actions), alleging violation of federal and state equal opportunity in employment laws." (Agreement, § 6.)

In support of her argument, Plaintiff relies on *Hasty v. American Automobile Ass'n of N. California, Nevada, & Utah* (2023) 98 Cal.App.5th 1041, 1060 (*Hasty*). In *Hasty*, the provision at issue required the parties to waive their right to any remedy or relief as a result of charges or complaints brought by governmental administrative remedies. (*Hasty, supra,* 98 Cal.App.5th at p. 1060.) The court there noted that this provision "certainly seems one-sided." (*Ibid.*) The court found that "[a] waiver of administrative remedies and relief, hidden in an arbitration agreement, is overly harsh and shocks the conscience." (*Ibid.*) The court also found the provision confusing in that it permitted the parties to file a complaint with government agencies but also waived the right to resolve any claim by administrative proceeding. (*Ibid.*) Here, unlike in *Hasty*, the Agreement does not expressly waive the Berman procedure. Moreover, waiver of the Berman procedure does not constitute unconscionability unless the arbitration forum is not accessible or is otherwise one-sided and Plaintiff has not made such a showing here. (See *Sonic-Calabasas A, Inc. v. Moreno* (2013) 57 Cal.4th 1109, 1146.) Thus, the Court does not find this provision to be unconscionable.

c. <u>Arbitration Costs</u>

Plaintiff argues the Agreement improperly limits the costs GDH must cover thus, forcing employees to bear costs for services otherwise provided by courts. (Opp., p. 12:14-15.)

"When an employer imposes mandatory arbitration as a condition of employment, the arbitration agreement or arbitration process cannot generally require the employee to bear any type of expense that the employee would not be required to bear if he or she were free to bring the action in court." (*Armendariz, supra,* 24 Cal.4th at pp. 110-111.)

Here, the Agreement provides that "[t]he costs and fees of the arbitrator shall be borne by GDH." (Agreement, § 6.) While the Agreement does not explicitly address expenses such as the cost of an interpreter, this is not a basis to render the claim unenforceable. (See *Little v. Auto Stiegler, Inc.* (2003) 29 Cal.4th 1064, 1084 ["silence about accosts in an arbitration agreement is not grounds for denying a motion to compel arbitration."].)[3] Therefore, the Court is not persuaded that this provision is unconscionable.

d. <u>PAGA Waiver</u>

Plaintiff argues that the Agreement improperly waives claims under PAGA. (Opp., p. 13:14.)

The Agreement provides, "HOWEVER, CONSULTANT SHALL HAVE NO RIGHT OR AUTHORITY TO HAVE ANY DISPUTE BROUGHT, HEARD OR ARBITRATED AS A… PRIVATE ATTORNEY GENERAL ACTION OR IN A REPRESENTATIVE CAPACITY ON BEHALF OF ANY PERSON…" (The Agreement, § 6 [emphasis original].) On its face, it appears this language waives Plaintiff's ability to bring any PAGA claims. Thus, the Court finds the PAGA waiver is substantively unconscionable. (See *Alberto v. Cambrian Homecare* (2023) 91 Cal.App.5th 482, 495 ["blanket waivers of PAGA claims are unconscionable."]; *DeMarinis v. Heritage Bank of Commerce* (2023) 98 Cal.App.5th 776, 787.)

e. <u>Delegation Clause</u>

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[3] The Court is not persuaded by Plaintiff's reliance on *Family Violence Appellate Project v. Superior Court* (Aug. 10, 2026, No. S288176) 2026 Cal.LEXIS 4133 because it is factually distinguishable from the instant matter specifically because it involved indigent litigants and pertained to whether a civil litigant could obtain an official verbatim record of the proceedings.

Lastly, Plaintiff argues that the delegation clause is substantively unconscionable because it would delegate PAGA arbitrability and formation arguments to the arbitrator. (Opp., p. 15:3-6.)

"Challenges to the validity of an arbitration clause itself are generally resolved by the court in the first instance. An exception to this rule applies when the parties have clearly and unmistakably agreed to delegate questions regarding the validity of the arbitration clause to the arbitrator." (*Nielsen Contracting, Inc. v. Applied Underwriters, Inc.* (2018) 22 Cal.App.5th 1096, 1108 [citing *Aanderud v. Superior Court* (2017) 13 Cal.App.5th 880, 890 (*Aanderud*)].) "There are two prerequisites for a delegation clause to be effective. First, the language of the clause must be clear and unmistakable. Second, the delegation must not be revocable under state contract defenses such as fraud, duress, or unconscionability. The 'clear and unmistakable' test reflects a heightened standard of proof that reverses the typical presumption in favor of the arbitration of disputes." (*Aanderud, supra,* 13 Cal.App.5th at p. 892 [internal citations omitted].) An unconscionability challenge must be specifically directed at the delegation provision, not the entire arbitration agreement. (*Id*. at p. 895; see also *Tiri v. Lucky Changes, Inc.* (2014) 226 Cal.App.4th 231, 248 (*Tiri*).)

The Agreement provides, "The arbitrator, not a court, shall be the exclusive authority to resolve any dispute relating to the interpretation, arbitrability, enforceability or formation of the agreement to arbitrate set forth in this Paragraph but not limited to any claim that all or any part to arbitrate is void or voidable." (The Agreement, § 6.) Thus, it appears to the Court that there is a clear and unmistakable delegation clause. However, GDH explicitly states that it "asks this Court to determine whether an enforceable arbitration agreement exists." (Reply, p. 9:1-2.) Thus, it appears Defendant waives the right to invoke the delegation clause. (See *Mendoza v. Trans Valley Transport* (2022) 75 Cal.App.5th 748, 771.) Moreover, Plaintiff does not assert a PAGA claim in this action, thus, even if GDH invoked the delegation clause here, the issue of PAGA arbitrability would not go to an arbitrator. Therefore, the delegation clause itself does not constitute substantive unconscionability.

f. Severability

The Agreement provides, "[t]he provisions of this Arbitration agreement are severable." (Agreement, § 6.)

Here, the Court finds substantive unconscionability with regard to the PAGA waiver and the access to injunctive relief. GDH argues those portions can be severed without rewriting the parties' bargain or disturbing the Agreement's core terms. (Reply, p. 9:22-25.)

"[W]hether to sever is within the trial court's discretion." (*Navas v. Fresh Venture Foods, LLC* (2002) 85 Cal.App.5th 626, 636-637.) The California Supreme Court recently explained, "[i]f the unconscionability cannot be cured by extirpating or limiting the offending provisions, but instead requires augmentation to cure the unconscionability, then the court should refuse to enforce the contract." (*Ramirez v. Charter Communications, Inc.* (2024) 16 Cal.5th 478, 516 (*Ramirez*).)

> " 'In deciding whether to sever terms rather than to preclude enforcement of the provision altogether, the overarching inquiry is whether the interests of justice would be furthered by severance; the strong preference is to sever unless the

> agreement is “permeated” by unconscionability.’ An agreement to arbitrate is considered ‘permeated’ by unconscionability where it contains more than one unconscionable provision. ‘Such multiple defects indicate a systemic effort to impose arbitration on [the nondrafting party] not simply as an alternative to litigation, but as an inferior forum that works to the [drafting party’s] advantage.’ An arbitration agreement is also deemed ‘permeated’ by unconscionability if ‘there is no single provision a court can strike or restrict in order to remove the unconscionable taint from the agreement.’ If ‘the court would have to in effect, reform the contract, not through severance or restriction, but by augmenting it with additional terms,’ the court must void the entire agreement.” (*Mango v. The College Network, Inc.* (2016) 1 Cal.App.5th 277, 292.)

(*De Leon v. Pinnacle Property Management Services, LLC* (2021) 72 Cal.App.5th 476, 492-493 [internal citations omitted].)

Here, the Court finds that the unconscionable provisions particularly the Confidentiality Agreement, which is read together with the Agreement, permeate through the entire Agreement as it provides an advantage to GDH while limits the judicial remedies available to Plaintiff. Moreover, it appears augmentation is necessary in order to cure it. (See *Ramirez, supra,* 16 Cal.5th at p. 516.) Consequently, the Court declines to sever the unconscionable provisions.

Accordingly, GDH’s motion to compel arbitration is DENIED, its motion to dismiss class claims and request to stay are MOOT.

XVII. DFENDANT MICRO FOCUS’S JOINDER

Micro Focus joins GDH’s motion and argues Plaintiff should be compelled to arbitrate her claims against them based on equitable estoppel and agency theories. Micro Focus relies on the arguments put forth by GDH in support of its motion. For reasons explained above, the Court declines to enforce the Agreement. Consequently, Micro Focus’s joinder is DENIED.

XVIII. CONCLUSION

GDH’s motion to compel arbitration is DENIED, GDH’s request to dismiss Plaintiff’s class claims and stay this action are MOOT, and Micro Focus’s joinder is DENIED.

The Court will prepare the order.

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